

I considered this trade both a buy-and-hold position and also a swing trade with a 63 to 66 target.

What does that mean?

I had a sell target in mind (63 to 66) but didn't particularly care how long it took to get there (within reason, that is). That may sound strange, but when you have excess cash and don't like to see it earning almost zero in the brokerage account or money market fund, I like to put it to work.

The buy-and-hold also gave me flexibility with stop placement. That means I didn't have to use a stop, but I calculated one anyway: 43.57 or almost 6% below the buy price. I didn't use it, as I mentioned. From my notebook: "Consider selling on close below 44.50, the extension part of the V-bottom (below H)."

The upside target was the bottom of a flat move from July to October 2018 (not shown). It made for a formidable resistance layer. "It won't go much higher," I wrote in my notebook.

The industry and markets were up over a look back of 1 month but weaker going back 2 and 6 months, so both were recovering. The stock was rising against the S&P 500 index, which is important. I like to choose stocks that are doing better than the general market.

With the low at H as a good place to sell the stock should the trade go bad, what did I do? I bought more, of course, a bit less than a third of a position at F. "15 August 2019. Buy reason: Average down. Yesterday the Dow [industrials] were down 800, and I was hoping it would sink more today so I could grab a few. But the market and the stock didn't move much. I bought about 20–30 minutes before the close. I'm thinking that the stock will recover. It's like a flat base followed by pothole setup. All it has to do is go back up to the low 60s."

The stock recovered, as the chart shows. At E, I wrote this in my notebook: "8 November 2019. This looks like an easy win. The flat base is obvious, from November 2018 to late October 2019. The stock has broken out above this. So I'm expecting a rise up to the low-to-mid-60s, say 65 as a target. Buy reason: flat base. I'll double my position."

The first buy had bad timing. Yes, the stock continued higher but for only a day. The second entry had wonderful timing. I bought at the bottom of the